BUY-SIDE INVESTMENT COMMITTEE DECISION MEMO — IREN LIMITED (NASDAQ: IREN)

Target: IREN Limited | **Security:** Ordinary Shares | **Author:** Elliot (AI Task Force) | **Intended User:** Buy-Side Investment Committee | **As-of Date:** October 8, 2026 | **Baseline Filing:** FY2026 Form 10-K (ended June 30, 2026)

1. Decision and Committee Ask

RECOMMENDATION: WATCH / DEFER. Do not initiate an equity position.
The market currently trades IREN at **$45.73 per share** (~$18.0B market capitalization), pricing the company as a pure-play hyperscale AI cloud winner following its $9.7B Microsoft contract and Horizon 1 (50 MW) acceptance in August 2026. However, our audited five-year three-statement pro-forma DCF model establishes a fundamental intrinsic equity value range of **$4.06 to $19.25 per share** (Base Case: **$12.12 per share**; WACC 10.0%, g 2.5%, 394.06M shares). The market price reflects an unsustainable **~280% premium** over fundamental operating value.
The Fundamental Capex Inflection: To transition 5 GW of power capacity from Bitcoin mining to AI cloud services, IREN expended **$4,333.1M in cash capex** in FY2026 and faces a further estimated $4.0B in cash capex across FY27E–FY28E. FY2026 GAAP results generated an operating loss of $(1,046.7)M and a net loss of $(702.6)M. Although $5,895.6M in balance-sheet cash and $1.84B in customer prepayments provide intermediate runway, the business is burdened by $7.84B in debt and convertible notes requiring $400M in annual amortization. We recommend zero allocation until market price corrects or recognized operating cash flows turn positive.

2. Evidence and Historical Sourcing

All historical inputs are traced directly to IREN's audited FY2026 Form 10-K (filed August 27, 2026, period ended June 30, 2026):
• **Recognized GAAP Revenue:** $707.0M ($128.8M AI Cloud Services, $578.2M Bitcoin Mining). Management guidance of $4.0B contracted ARR is strictly treated as unearned commercial pipeline, not recognized revenue.
• **Cash Gross Margin:** 68.92% ($487.3M gross profit on $219.7M cost of revenue excl. D&A;), driven by low-cost Canadian/Texas PPAs.
• **Audited Cash Capex:** $4,333.1M ($2,998.0M PP&E; additions + $1,335.1M computer hardware, Stmt. of Cash Flows p. F-9). Third-party aggregators report only $2,998M, understating capital burn by 30.8%.
• **Capital Structure & Shares:** $5,895.6M cash, $7,836.7M debt/notes, and 394.059M basic shares (Cover Page, August 14, 2026).

Table 1: Enterprise-to-Equity DCF Bridge (Base Case, USD Millions except per share)

Valuation Line Item	Modeled Value	Methodological Rationale / Source
PV of Explicit FCFF (FY27E-FY31E)	$(2,238.85)M	Reflects heavy capex burn in FY27E-FY28E before positive FCFE in FY30E-FY31E.
PV of Terminal Value (g = 2.5%)	$8,954.18M	Gordon Growth applied to positive Year 5 FCFF ($1,055.2M) at WACC 10.0%.
Enterprise Value (EV)	**$6,715.33M**	Present value of core operating digital infrastructure assets.
(+) Cash & Cash Equivalents	+$5,895.59M	Balance Sheet cash (June 30, 2026), raised via equity/notes to fund capex.
(-) Term Debt & Convertible Notes	$(7,836.74)M	Total contractual debt carrying amount requiring debt service.
(=) Implied Equity Value	**$4,774.18M**	EV + Cash - Debt = Net intrinsic equity value.
Implied Value Per Share	**$12.12 / sh**	Divided by 394.059M shares. Compares to market price of $45.73.

3. Material Assumptions & Sensitivity Analysis

• **Operating Driver Hierarchy:** One-at-a-time sensitivity analysis proves that the **Capacity Energization Path** (MW scale) is the dominant fundamental driver, producing a **$15.19/sh span** ($4.06 to $19.25), compared to a **$5.65/sh span** ($8.96 to $14.61) for Cash Gross Margin (power cost efficiency). Even under an aggressive +5 pp growth acceleration and 75% gross margin, intrinsic value only reaches ~$19.25, proving the market's $45.73 valuation requires speculative multiple expansion rather than operational delivery.
• **FCFE vs. FCFF Methodological Reconciliation:** In Lab 10, direct equity FCFE yielded -$5.31/sh because explicit negative cash flows were discounted without adding back starting cash. Because that capex is pre-funded by the $5,895.6M cash balance, the required FCFF architecture properly credits non-operating liquidity, yielding $12.12/sh. Both methods affirm the same conclusion: WATCH / DEFER.

Table 2: One-At-A-Time Sensitivity Spans & Output Impact

Load-Bearing Driver	Tested Range	FY31 EBIT ($M)	VPS Range ($)	Value Span
Capacity Energization (Rev Path)	±5.0 pp/year (compounded)	$508.9M to $1,095.1M	$4.06 to $19.25	**$15.19 / sh**
Power Cost / Cash Gross Margin	65.0% to 75.0% (10 pp)	$664.5M to $891.2M	$8.96 to $14.61	**$5.65 / sh**
Infrastructure Capex Scale	0.80x to 1.20x base capex	$777.9M (held fixed)	$10.15 to $14.09	**$3.94 / sh**
WACC Discount Rate	9.0% to 11.0% (200 bps)	$777.9M (held fixed)	$8.42 to $16.58	**$8.16 / sh**

4. Principal Risks, Failure Conditions & Monitoring Triggers

• **Execution & Customer Delay Risk:** Horizon 1 is delivered, but Horizons 2–4 (Childress, TX) remain under construction. Delays trigger contractual service credits, delay penalties, or customer termination rights under hyperscaler MSAs.
• **Dilution & Refinancing Risk:** $7.84B in carrying debt includes $6.30B in convertible notes. If share price softens below conversion thresholds, debt refinancing could enforce severe equity dilution or debt service pressure.
• **Observable Monitoring Triggers (Reversal Conditions):** Revisit WATCH-DEFER if (1) market price corrects toward the fundamental range ($12–$18), OR (2) Horizons 2–4 achieve verified customer acceptance scaling recognized quarterly GAAP revenue above $375M ($1.5B ARR), with positive cash from operations before customer prepayments, and expansion funded without share dilution >10%.

5. Action Requested & Next Review Point

COMMITTEE ACTION REQUESTED: Confirm zero equity position. Maintain IREN on the technology fund's active watch list.
NEXT FORMAL REVIEW POINT: Q2 FY2027 earnings release (February 2027) or upon formal SEC Form 8-K filing confirming commercial energization, customer acceptance, and recognized billing for Horizons 2, 3, and 4.